

MKT-09-DISTRIBUTION-STRATEGY

MKT-09: Distribution Strategy

Project AEGIS / Carrington Storm Motors

How Products Reach Customers — Channel Design, Partnerships, Economics

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EXECUTIVE SUMMARY

CSM’s distribution strategy is designed around the unique nature of EMP/CME protection products: they are not consumer goods sold through retail, nor are they conventional industrial equipment sold through distributors. They are safety-critical, regulation-driven, insurance-linked infrastructure products that require technical specification, certified installation, and ongoing monitoring. The distribution model must reflect these characteristics.

CSM employs a hybrid distribution model with four primary channels: (1) direct sales for government and large infrastructure operators; (2) insurance carrier distribution — embedded in insurance policies as a condition of coverage or premium reduction; (3) certified installer network for Aegis Home residential products; and (4) strategic partnerships with grid equipment companies, defense contractors, shipyards, and engineering firms. Each channel is optimized for its target customer segment.

The distribution strategy is capital-light: CSM does not build retail locations, does not maintain large field sales forces, and leverages partners’ existing customer relationships, distribution infrastructure, and sales forces. This allows the Company to scale revenue faster than headcount and maintain gross margins above 55%.

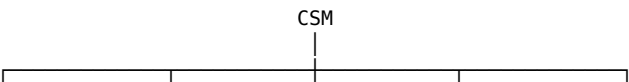
SECTION 1: CHANNEL DESIGN PRINCIPLES

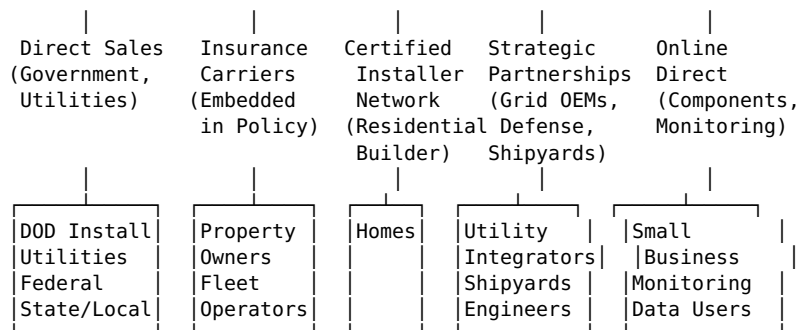
1.1 Why Conventional Channels Don’t Work

EMP/CME protection products cannot be sold through conventional industrial distribution for several reasons:

- 1. **Technical specification required:** EMP protection is not a commodity SKU that can be picked from a catalog. Each installation requires site-specific engineering assessment, system design, and integration with existing infrastructure.
- 2. **Trust and certification:** Customers are buying protection against a catastrophic threat they may never experience. They require third-party certification, insurance backing, and ongoing monitoring — none of which a conventional distributor provides.
- 3. **Regulatory compliance:** Many installations are driven by regulatory mandates (NERC, CER Directive, classification society) that require specific documentation and certification that a distributor channel cannot support.
- 4. **Installation complexity:** EMP protection systems must be installed by trained, certified technicians. A conventional distributor model would create quality control and liability risk.
- 5. **Insurance integration:** The premium-linked model requires deep integration with insurance carrier underwriting, policy issuance, and claims systems — capabilities no distributor possesses.

1.2 CSM’s Channel Architecture





SECTION 2: DIRECT SALES — GOVERNMENT AND LARGE INFRASTRUCTURE

2.1 Channel Description

CSM sells directly to government agencies (DOD, DOE, DHS, FEMA, GSA) and large infrastructure operators (investor-owned utilities with >1M customers, major maritime fleet operators) through an enterprise sales force.

2.2 Sales Force Structure

Role	Responsibilities	Phase 1 Headcount	Phase 3 Headcount
VP Government Sales	DOD, DOE, DHS, FEMA, GSA accounts	1	1
Government Account Executives	Individual agency and command relationships	2-3	8-12
VP Utility Sales	IOU and large municipal utility accounts	1	1
Utility Account Executives	Regional utility relationships	2-3	10-15
VP Maritime & Industrial Sales	Maritime fleet operators, industrial facilities	1	1
Maritime Account Executives	Major shipping lines, energy companies	1-2	5-8
Sales Engineers	Technical support for complex proposals	2-3	15-20
Proposal/Contracts Managers	RFP response, contract administration	1-2	5-8

2.3 Direct Sales Economics

Metric	Phase 1	Phase 2	Phase 3
Average deal size	\$2M (government) / \$1M (utility)	\$8M / \$3M	\$15M / \$5M
Sales cycle	18-24 months	12-18 months	9-15 months (repeat business)
Quota per account executive	\$5M-\$10M/year	\$15M-\$25M/year	\$25M-\$40M/year
Sales cost (% of revenue)	15-20%	10-14%	6-9%
Compensation (OTE)	\$200K-\$350K	\$250K-\$450K	\$300K-\$550K
Commission rate	3-5% of contract value	2-4%	1.5-3%

2.4 Government Sales Specialization

Government sales require specialized capabilities not needed in commercial channels:

- **Security clearances:** Account executives handling classified contracts require Secret or Top Secret clearance.
- **FAR/DFARS expertise:** Proposal managers must understand Federal Acquisition Regulation and Defense

FAR Supplement requirements.

- **Cost accounting compliance:** Government contracts require compliant cost accounting systems (FAR Part 31).
- **Past performance:** Government buyers require evidence of prior successful contract performance.
- **Small business subcontracting plans:** Large contracts require plans for small business participation.
- **Government relations:** Not sales per se, but essential for informing requirements development.

SECTION 3: INSURANCE CARRIER DISTRIBUTION — EMBEDDED IN POLICY

3.1 Channel Description

Insurance carriers serve as CSM's primary distribution channel for commercial property and, eventually, residential products. The model works as follows:

1. CSM partners with an insurance carrier to develop a "Resilience Credit" program.
2. The carrier identifies policyholders with significant EMP/CME exposure (large commercial properties, high-value homes, marine risks).
3. At policy renewal, the carrier offers the policyholder a choice:
 - **Option A:** Continue current coverage, but with an EMP/CME exclusion (or sublimit) added to the policy.
 - **Option B:** Install CSM's hardening system, receive a premium reduction of 10-30%, and maintain full EMP/CME coverage.
4. If the policyholder selects Option B, the carrier schedules CSM's certified installer to perform the installation.
5. CSM receives payment from the carrier (who may finance this cost and recover it through premium payments over time).

3.2 Why This Model Works

For the policyholder: Positive economic return (premium savings pay for system in 5-12 years); continued insurance coverage for EMP/CME; peace of mind.

For the insurer: Reduced aggregate portfolio exposure to EMP/CME; higher return on capital (lower SCR requirement); competitive differentiation; new premium pool (parametric products).

For CSM: Zero customer acquisition cost (carrier's underwriting process identifies prospects); carrier's trusted relationship transfers to CSM; carrier's distribution force (agents, brokers, underwriters) sells CSM's product as part of policy placement; carrier finances the installation (CSM gets paid upfront).

3.3 Insurance Channel Economics

Metric	Value
CSM system price (avg. commercial property)	\$250K-\$450K
Annual premium reduction to policyholder	\$30K-\$60K
Policyholder payback period	5-12 years
Carrier premium retained (vs. excluding risk)	85-90% of original premium
CSM revenue per transaction	\$250K-\$450K
Carrier commission to CSM (% of system price for channel access)	0% (carrier doesn't charge; this is their risk mitigation strategy)
CSM monitoring fee (annual, paid by carrier or policyholder)	\$1,500-\$3,500
Carrier portfolio exposure reduction per hardened property	70-95% reduction in EMP/CME modeled loss

3.4 Carrier Partnership Tier Structure

Tier	Carrier Type	Number	Exclusivity	CSM Investment	Expected Revenue/Year/Carrier
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Strategic (Tier 1)	Swiss Re, AXA XL, Chubb, Munich Re, Lloyd's, Berkshire	4-6	Co-branded products; joint risk model development	\$500K-\$2M per carrier (dedicated partnership team)	\$50M-\$200M
Distribution (Tier 2)	Zurich, AIG, Travelers, Liberty Mutual, The Hartford, FM Global, CNA, Nationwide, Cincinnati, Berkley, Markel, Sompore	8-12	Non-exclusive; standard Resilience Credit program	\$200K-\$500K per carrier	\$15M-\$75M
Specialty (Tier 3)	PURE, AIG PCG, Vault, Cincinnati HNW, American Modern, Allianz GCS, QBE	5-8	Non-exclusive; tailored for specialty segments	\$100K-\$300K per carrier	\$5M-\$25M
International/Reinsurance (Tier 4)	Hannover Re, SCOR, PartnerRe, RenRe, Arch, Everest, Hiscox, Beazley, Tokio Marine, MS&AD, Fairfax, Intact, Suncorp	10-15	Geographic exclusivity possible	\$100K-\$500K per carrier	\$10M-\$50M

SECTION 4: CERTIFIED INSTALLER NETWORK — AEGIS HOME

4.1 Channel Description

For residential products (Aegis Home), CSM builds a certified installer network — licensed electricians who complete CSM's training and certification program and are authorized to install Aegis Home systems.

4.2 Installer Network Model

Program Element	Description
Certification requirements	Licensed master electrician; completion of CSM's 40-hour training program; passing certification exam; annual recertification; minimum 2 installations/year to maintain certification
Training program	5-day intensive course covering dielectric panel installation, system integration, testing, and customer education. Delivered at CSM training centers or regional locations.
Territories	Exclusive or semi-exclusive territories within metropolitan areas (based on population density and expected installation volume)
Installer compensation	Installer purchases CSM system at wholesale price (35-45% below retail); charges customer for installation labor separately. Typical installer margin: 25-35% on combined hardware + labor.

Quality assurance	CSM conducts random post-installation inspections; all installations require CSM remote certification testing before system is activated.
Lead generation	CSM provides leads from insurance carrier referrals, website inquiries, and builder partnerships. Installers also generate their own leads.
Brand standards	All installers use CSM-branded vehicles, uniforms, and installation materials. Co-branded marketing materials provided.

4.3 Installer Network Economics

Metric	Home-Basic	Home-Standard	Home-Premium	Home-Estate
Retail price (installed)	\$7,000	\$11,250	\$20,000	\$47,500
CSM wholesale price to installer	\$4,995	\$8,495	\$14,995	\$29,995
CSM gross margin	45-52%	48-55%	50-58%	52-62%
Installer labor + overhead	\$1,500-\$2,000	\$2,000-\$2,750	\$3,000-\$5,000	\$8,000-\$17,500
Installer margin	20-30%	18-26%	22-28%	25-35%
Annual monitoring fee (CSM recurring)	\$500	\$750	\$1,200	\$2,500

4.4 Builder Certification Program

Complementing the installer network, CSM’s builder certification program targets luxury home builders:

Program Element	Description
Builder requirements	Minimum 20 homes/year at \$800K+ price point; commitment to offer Aegis Home in all model homes
Builder benefits	“Aegis Home Certified Builder” designation; co-marketing with insurance carrier partners; listing on CSM website as certified builder; lead generation from insurance carrier referrals; training on EMP/CME risk for sales teams
Integration	CSM-certified electrician performs installation during construction electrical rough-in; builder’s electrician coordinates
Model home support	CSM subsidizes Aegis Home system in builder’s model home (50% discount) in exchange for marketing access

SECTION 5: STRATEGIC PARTNERSHIPS

5.1 Grid Equipment Companies — OEM and Co-Development Partnerships

Partner Type	Role	Economics	Examples
Grid equipment OEMs	Sell CSM dielectric components as part of integrated substation protection package	CSM sells components to OEM at 35-45% GM; OEM integrates and sells at markup	Eaton (surge protection + dielectric enclosure), SEL (protection relays + CSM sensors), ABB (grid automation + dielectric hardening)
Protection relay manufacturers	Integrate CSM GMD/EMP sensors with protection relays for automated response	CSM sells sensors at 50-60% GM; co-marketing	SEL, GE Grid Solutions, Siemens
Transformer manufacturers	Offer factory-installed dielectric GIC protection on	CSM sells dielectric components to transformer	ABB, Siemens Energy, Hitachi Energy, Hyundai

new transformers

OEM; royalty on transformer upcharge

Electric, SPX Transformer Solutions

5.2 Defense Contractors — Teaming and Licensing

Partner Type	Role	Economics	Examples
Prime defense contractors	Subcontract CSM for dielectric EMP protection on military construction projects	CSM as subcontractor: typical 8-15% of prime contract value	Fluor, Bechtel, KBR, AECOM, Jacobs
Defense electronics contractors	License CSM dielectric technology for integration into military systems	Royalty: 5-10% of licensee's product revenue using CSM technology	L3Harris, Northrop Grumman (C4I systems), Raytheon (missile defense)
Shipbuilders	Integrate CSM dielectric protection into naval and commercial newbuilds	CSM sells components to shipyard at 40-50% GM; shipyard installs	Huntington Ingalls, General Dynamics NASSCO, Fincantieri, Hyundai Heavy, Daewoo

5.3 Maritime Classification Societies — Certification Partnerships

Society	Role	Economics
DNV (Det Norske Veritas)	Type-approval of CSM dielectric bridge protection systems	CSM pays type-approval fees (\$200K-\$500K); DNV includes CSM as "approved supplier" in class notations
ABS (American Bureau of Shipping)	US-flag vessel certification	Similar to DNV
Lloyd's Register	UK and Commonwealth vessel certification	Similar to DNV
Bureau Veritas	European vessel certification	Similar to DNV

5.4 Engineering and Architecture Firms — Specification Partnerships

Firm Type	Role	Economics
Infrastructure engineering firms (AECOM, WSP, Jacobs, Burns & McDonnell, Stantec)	Specify CSM dielectric protection in substation, data center, and government facility designs	No direct revenue; specification drives procurement. CSM provides design support and BIM objects at no cost.
Architecture firms (Gensler, HOK, Perkins&Will, SOM)	Specify Aegis dielectric construction for high-security buildings	CSM provides specification language, BIM objects, and CEU courses for architects.
MEP engineering firms	Specify dielectric electrical room protection in commercial building designs	CSM provides technical support and specification language.

SECTION 6: ONLINE DIRECT-TO-CONSUMER (Components, Monitoring, Data)

6.1 Channel Description

For lower-complexity products — individual dielectric components, monitoring subscriptions, replacement parts, and Aegis Home accessories — CSM operates a direct e-commerce channel at csmaegis.com.

6.2 Products Sold Online

Product Category	Examples	Average Order Value	Annual Revenue Potential (Phase 3)
Dielectric componentry (R2R)	Sensors, actuators, communication modules for \$5K-\$50K		\$5M-\$15M

	robotics integrators		
Monitoring subscriptions	GMD/EMP monitoring data access for utilities not using CSM hardware	\$1,200-\$12,000/year	\$2M-\$10M
Aegis Home accessories	Additional room modules, garage EV charger protection, generator interfaces	\$500-\$3,000	\$3M-\$8M
Replacement parts & consumables	Dielectric panel connector kits, inspection tools, test equipment	\$100-\$2,000	\$1M-\$3M
Training and certification	Online CEU courses for engineers, electricians, and insurance professionals	\$200-\$2,000	\$1M-\$5M

6.3 Online Channel Economics

Metric	Phase 2	Phase 3
Revenue through online channel	\$3M-\$8M	\$15M-\$40M
% of total revenue	1-3%	1-2%
Gross margin	65-75%	65-75%
Customer acquisition cost (digital marketing)	\$50-\$150	\$75-\$200
Return on ad spend (ROAS)	5-10x	3-7x

SECTION 7: CHANNEL ECONOMICS SUMMARY

7.1 Revenue Mix by Channel (Projected, Phase 3)

Channel	% of Revenue	% of Gross Profit	Description
Direct Sales (Government)	20-25%	18-23%	Lower margin (government pricing) but high volume and stability
Direct Sales (Utility)	20-25%	22-27%	Strong margins; growing segment
Insurance Carrier Distribution	25-30%	25-30%	Highest margin channel (zero CAC); fastest growing
Certified Installer Network	12-18%	10-14%	Residential volume; wholesale pricing to installers
Strategic Partnerships (OEM/Defense)	8-12%	7-10%	Component supply at moderate margin; access to partner channels
Online Direct	1-2%	2-3%	Small but high-margin; data/monitoring subscription growth
Licensing/Royalties	3-5%	5-8%	Very high margin (95%+); international and defense applications

7.2 Channel Investment Requirements

Channel	Phase 1 Investment	Phase 2 Investment	Phase 3 Investment
Direct Sales (Government)	\$2M-\$4M (sales team, security clearances, proposal infrastructure)	\$4M-\$8M	\$8M-\$15M
Direct Sales (Utility)	\$1.5M-\$3M	\$3M-\$6M	\$6M-\$12M
Insurance Carrier	\$3M-\$6M (partnership	\$5M-\$10M	\$8M-\$15M

Distribution	development, risk model, regulatory)		
Certified Installer Network	\$500K-\$1M (training program development)	\$2M-\$4M	\$5M-\$10M
Strategic Partnerships	\$1M-\$2M (partner development, co-engineering)	\$2M-\$4M	\$4M-\$8M
Online Direct	\$250K-\$500K (platform build)	\$500K-\$1M	\$1M-\$3M

SECTION 8: GEOGRAPHIC DISTRIBUTION EXPANSION PLAN

8.1 US Regional Rollout

Phase	Regions	Metropolitan Markets	Strategy
Phase 1	Texas, Florida, Virginia	Dallas, Houston, Miami, Orlando, DC Metro	States with EMP legislation; early utility partnerships
Phase 2	Add: California, Northeast, Southeast	Los Angeles, San Francisco, New York, Boston, Atlanta, Charlotte	Insurance carrier concentration; high-end residential
Phase 3	Add: Midwest, Pacific Northwest, Mountain West	Chicago, Denver, Seattle, Phoenix, Minneapolis	Full national coverage; certified installer network in 25-30 metros
Phase 4	Full US coverage	50+ metropolitan markets	National brand; standard offering in luxury home construction

8.2 International Expansion Sequence

Wave	Countries	Timing	Rationale
Wave 1	Canada, United Kingdom, Australia	Phase 3 (Month 30+)	Five Eyes allies; English-speaking; similar legal/regulatory frameworks
Wave 2	Germany, Netherlands, Nordics (Denmark, Sweden, Norway, Finland), Japan, South Korea	Phase 3-4 (Month 36+)	CER Directive compliance (EU); high electrification; high CME risk at latitude
Wave 3	France, Italy, Spain, Singapore, UAE, Saudi Arabia	Phase 4 (Month 42+)	Expand EU presence; Asian financial hub; GCC critical infrastructure
Wave 4	Rest of EU, India, Brazil, Mexico, Taiwan, Israel	Phase 4 (Month 48+)	Full international presence; licensing model for emerging markets

Document prepared by: Carrington Storm Motors Commercial Strategy Data sources: Insurance industry distribution surveys, electrical contractor industry data, government procurement databases Last updated: July 15, 2026